www.tntextbooks.in

2.1.5 Advantages of Book-keeping

Book-keeping has the following advantages:

i. Transactions are recorded systematically in chronological order in the book of accounts. Thus, book-keeping provides a permanent and reliable record for all business transactions.

ii. Book-keeping is useful to get the financial information.

iii. It helps to have control over various business activities.

iv. Records provided by business serve as a legal evidence in case of any dispute.

v. Comparison of financial information over the years is possible. Also comparison of financial information of different business units is facilitated.

vi. Book-keeping is useful to find out the tax liability.

2.1.6 Limitations of book-keeping

Book-keeping has the following limitations:

i. Only monetary transactions are recorded in the books of accounts.

ii. Effects of price level changes are not considered.

iii. Financial data recorded are historical in nature, i.e., only past data are recorded.

2.2 Book-keeping Vs. Accounting

Following are the differences between book-keeping and accounting:

S. No	Basis of distinction	Book-keeping	Accounting
1	Scope	It is concerned with recording and classifying the business transactions.	It is concerned with recording, classifying, summarising, analysing and interpreting the financial data.
2	Stage	Book-keeping is the primary stage in accounting. It is the base for accounting.	Apart from the primary stage, it includes secondary stage of analysis and interpretation.
3	Nature of job	It is routine and clerical in nature.	It is analytical in nature.
4	Knowledge required	It requires basic knowledge of the principles of journalising and posting.	It requires thorough knowledge of accounting principles, procedures and practices.
5	Skill required	Analytical skill is not required for book-keeping.	It requires analytical skill.